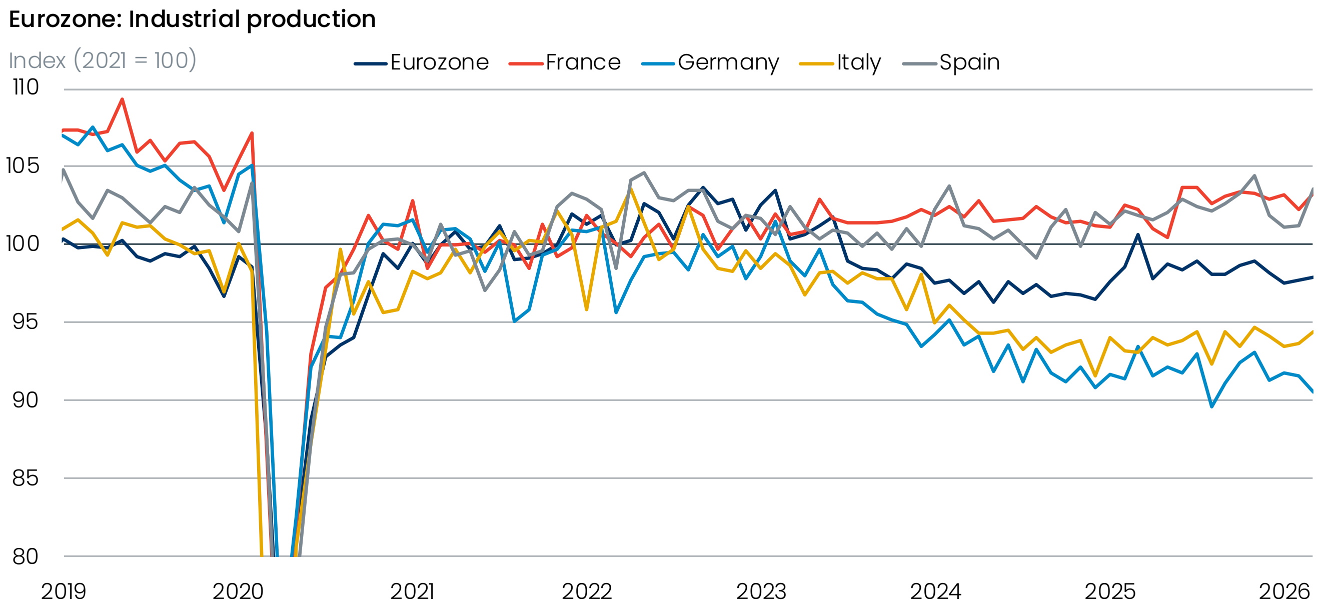
Very little growth momentum prior to Middle East conflict escalation

- **The second Q1 GDP estimate reiterated that the Eurozone economy barely grew at the start of the 2026. We suspect private consumption and investment growth was subdued, with the biggest support stemming from government consumption. Ultimately, the Eurozone economy was exhibiting no clear momentum before the escalation in the Middle East conflict.**
- **While Eurozone industrial production posted a 0.2% m/m increase in March, national monthly prints have been volatile in recent months, with manufacturing resilience likely exacerbated by frontloading ahead of anticipated supply disruptions. Having contracted over the quarter by 0.9%, higher energy prices will weigh on the industrial recovery this year.**

The second release of Eurozone Q1 GDP confirmed the economy expanded by a meagre 0.1% q/q, albeit weighed down by an exceptionally weak figure in Ireland. We still need to wait until the third release for the detailed components breakdown, with some national level data not pointing towards a common growth factor for the region. Private consumption growth was likely weak even before we begin to see the bulk of the impact of the Middle East conflict, which has already dealt a notable hit to consumer confidence and probably weighed on spending in March. Investment growth was also likely very weak, with some upside maybe coming from government consumption as the German fiscal package gains some traction.

Chart 1: Eurozone industry contracted over Q1 despite growing in February and March



Sources: Oxford Economics, Haver Analytics

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Eurozone industrial production rose 0.2% m/m in March, although national monthly prints have been quite volatile in recent months due to frontloading in anticipation of renewed supply-chain disruption and exceptionally cold weather at the start of 2026. Growth was also flattered by a likely one-off very strong growth print in Spain. Over the quarter, production declined by 0.9%. With energy prices now at fresh highs, we think there is little scope for a robust pick-up in industrial activity later this year. But there may be some resilience in the early stages of the economic repercussions of the conflict thanks to the building impetus from the defence sector ramp up as well as increased demand in sectors benefitting from firms front-running a possible supply crunch in energy-intensive products.